TERMS AND CONDITIONS FOR SMALL VALUE SUPPLY ORDERS

Purchase Order No: …….

Purchase Order Date: ……..

1. SCOPE OF SUPPLY

Unless otherwise expressly limited in the Technical Specifications, the Contractor's obligation cover design & engineering, Manufacture, Supply of Equipment / Materials / Items / Bulks etc., modification, if any, testing, pre-commissioning; start-up & commissioning and guarantee the performance guarantee parameters of the Equipment / Materials / Items / Bulks etc. as per applicable BIS or other specified standards, in accordance with the plans, specifications, drawings, codes and any other documents.

The Contractor shall, unless specifically excluded in the Contract, perform all such work / Supply of Equipment / Materials / Items / Bulks etc. not specifically mentioned in the Contract but that can be reasonably inferred from the Contract as being required for attaining Completion of the Project as if such work / Supply of Equipment / Materials / Items / Bulks etc. were expressly mentioned in the Contract.

All the Equipment / Materials / Items / Bulks etc. shall be supplied FOR / FOT IM Section, Tata Steel Limited, Kalinganagar.

2. PRICE BASIS

2.1.1 The Purchaser hereby agrees to pay to the Contractor the Contract Price in consideration of the performance by the Contractor of its responsibilities, liabilities and obligations under the Agreement. The Contract Price shall be the aggregate of: [amount of foreign currency in words], [amount in figures]. The Purchaser will pay only Goods & Services Tax (GST) and applicable cess thereto over Contract Price and all other taxes, duties, cess etc. shall in Contractor's account.

2.1.2 The Contract Price shall be for the entire Supply of Equipment / Materials / Items / Bulks etc. broadly indicated under the Agreement and all the contractual obligations of the Contractor.

2.1.3 The Contract Price shall be firm, without any escalation/ price variation whatsoever, and binding throughout the period of the Agreement.

2.1.4 Statutory variation in taxes & duties mentioned in Clause 2.1.1 hereof shall be payable by Purchaser within Contract validity period.

2.1.5 In case the Contractor's aggregate turnover (at PAN level) in a financial year has exceeded the threshold limit as prescribed under E-Invoicing Provision as per GST law, the Contractor shall mandatorily issue an E-Invoice compliant with GST law, for all such supplies of goods/services made by the Contractor in accordance with GST law. Any other form of invoice/ document shall be treated as an invalid invoice/document and the Purchaser shall not be liable to make payment to the Contractor. In such case the Contractor will not have any claim for delayed payment and in addition the Contractor shall indemnify and hold harmless the Purchaser., it's directors, officers and employees and compensate for any loss, damages etc including loss of Input Tax Credit of GST including any interest/penalty or associated cost that is occurred or caused due to the Contractor's acts, omissions or commissions arising out of failure on the Contractor's part to issue an E-Invoice.

2.1.6 Tax Collected at Source

2.1.6.1 TCS as applicable (w.e.f 1st Oct'2020) on the sale/supply of goods shall be charged separately in the tax invoice. If TCS is not separately charged in the invoice, in such case the Purchaser shall not be liable to pay TCS in addition to the invoice value.

2.1.6.2 It shall be the responsibility of the Contractor to comply with all the requirements under provision of TCS, included but not limited to, monthly payment of TCS, quarterly filing of TCS Return to ensure that Form 26AS is updated on timely manner. The Contractor shall also issue TCS certificate on quarterly basis to enable the Purchaser in availing TCS credit in timely manner.

2.1.6.3Any cost on account of non-compliance of TCS provisions e.g interest or penalty or any other cost of similar nature, shall be the responsibility of the Contractor. In none of the scenario the Purchaser can be held responsible for such cost.

2.1.6.4The Contractor shall support the Purchaser on a best effort and timely basis to sort out the discrepancies, if any, between the TCS collected by it and amount appearing in Form 26AS. Any unreconciled discrepancies shall be recovered from the vendors.

2.1.6.5 In case TCS are payable on reimbursement model, TCS shall be reimbursed by the Purchaser at actual to the Contractor against documentary evidence of payment of TCS submitted by the Contractor subject to a maximum amount indicated separately in the order elsewhere (wherever applicable). In other cases, TCS shall be paid along with Invoice payment subject to a maximum amount indicated separately in the order elsewhere (wherever applicable) and the Contractor shall submit proof of submission of TCS as per provision of TCS as and when demanded by the Purchaser.

3. TIME OF COMPLETION

Entire supply shall be completed in all respects within …… months from the date of award of this Work Order.

Purchaser reserves the right to terminate the contract / get the work done at Contractor's risk and cost.

4. CODES & STANDARDS

In the absence of specifications relevant Indian Standard Code of practice together with their latest revision/amendments as applicable on the date of agreement shall be followed. In the absence of the relevant IS code of practice also the instructions of the Purchaser, standard engineering practice shall be adopted. In case of contradiction / conflicts between the specifications, the interpretation of the Purchaser shall be final and binding.

5. DESIGNS & DRAWINGS

The Supplier shall submit to Purchaser, for information and use, five (5) copies each of designs, drawings, data, manuals, test certificates etc. as required by the Purchaser at the Supplier's expenses. The Purchaser shall in no way be responsible for any charges/expenses on this account.

6. TIMING FOR ENTRY INSIDE THE WORKS

It shall be noted that the road carriers shall deliver goods at Incoming Materials Section, Tata Steel Works, Kalinganagar, between 8 A.M and 3 P.M only on working days except Saturdays, Sundays and holidays declared by the Purchaser. On arrival at Kalinganagar, the driver of the truck or the authorized representative of the carrier shall contact Tata Steel's Security inspector between 9 A.M to 1 P.M and 2 P.M to 5 P.M to obtain the works entry pass to deliver the materials.

It shall be noted that the road carriers shall deliver goods at Incoming Materials Section, Tata Steel Works, Kalinganagar, between 8 A.M and 3 P.M only on working days except Saturdays, Sundays and holidays declared by the Purchaser. On arrival at Kalinganagar, the driver of the truck or the authorized representative of the carrier shall contact Tata Steel's Security inspector between 9 A.M to 1 P.M and 2 P.M to 5 P.M to obtain the works entry pass to deliver the materials.

It is brought to the notice and attention of the Contractor that all materials brought inside the plant premises by road transport either for supply against orders and/or for carrying out works, shall be covered by proper and authorized gate entry pass without which no materials brought inside the plant will be allowed to be taken out for any reason.

7. SPARES QUOTATIONS FOR O&M

The Supplier must submit his quotation for initial spares (except guarantee spares) for two (2) years trouble free operation of the Equipment including the accessories etc. to Purchaser's within two (2) months from the date of this Order.

8. INSPECTION AT MANUFACTURER'S / SUPPLIER'S WORKS

The Supplier will give inspection call to the Engineer, well in advance along with necessary internal inspection report, test certificates and material test certificate. In this connection, the Supplier will comply with the requirement of the Purchaser. All inspection services / works shall be performed by the Supplier's shall be covered within the Contract Price.

The Purchaser at their own discretion may decide to inspect or not to inspect the material. No materials / equipment / items shall be dispatched without Dispatch Clearance Certificate issued by the Purchaser.

9. Guarantee

The equipment and materials supplied by the contractor shall be guaranteed for satisfactory performance for a period of twelve months (Guarantee Period) from the date of start-up of the equipment / project. All replacement of defected parts shall be made by the Contractor free of cost at site promptly.

10. BILLING CUM DISPATCH SCHEDULE

The Supplier shall prepare and furnish the billing cum dispatch schedule to the Purchaser as required by the Purchaser.

11. MARKINGS

Marking in English block letters shall be clearly stenciled on the packages with good quality non-fading paint in characters sufficiently large as the size of the package will permit.

One and the same set of marking should appear on all four sides of the packages. No marking need be made on top and bottom. The following markings shall appear prominently on all the four sides of the packages with 75 mm high letters.

TATA STEEL LTD.,
…….. (Description of Equipment/item)
Duburi, Kalinganagar
Jajpur Road, Odisha. India
Purchase Order No. ....., dated ……..
Package No. .....
Brief Description: Equipment/Accessories/Commissioning Items /Initial Fills (to mark as applicable)

Underneath the above main markings, other particulars as under, relevant to the order should be marked on the packages in smaller letters:

Length ..... Width .....
Height .....
Net weight ..... Gross weight .....

Apart from the above markings, cautionary symbols, such as "FRAGILE" "HANDLE WITH CARE" "DO NOT DROP" "KEEP IN DRY PLACE" "TOP - DO NOT OVERTURN" etc. should also be painted as may be appropriate to the contents of package, on all four sides. When required due to length of unbalanced weight, position of gravity centre and slinging points shall be appropriately marked.

12. COMMISSIONING ITEMS & INITIAL FILL

The Order includes the price of Commissioning Items and initial fill. The Supplier shall supply sufficient quantity of all Commissioning Items delivered on INCOMING MATERIALS SECTION, PURCHASER works, Kalinganagar required for start-up and commissioning of the Equipment and up to the date of Provisional Acceptance by the Purchaser. Commissioning Items supplied by the Supplier and paid for by the Purchaser shall be the property of the Purchaser even if they are not used for commissioning.

13. CHANGES IN WORK

Purchaser reserves the right to issue revised condition, specification, amendment, scope of work etc. without any limitation.

14. PAYMENT TERMS

a) 95% of the payment within 30 days from submission of correct invoice(s), supported by required details, to Purchaser.

b) 5% of payment shall be paid 6 months after completion of supply.

15. LIQUIDATED DAMAGE

Liquidated Damages for Delay in completion in scope of work shall apply.

In the event the contractor is unable to complete the scope of supply within agreed completion schedule, liquidated Damage at the rate of 0 .5% per week of delay or part thereof up to a maximum 5% of the contract price shall be recovered.

16. REJECTION OF DEFECTIVE EQUIPMENT

If the supplied equipment and materials or any portion thereof at any time before Guarantee Period be found defective or fails to fulfill the requirements of the Purchaser, the Purchaser shall be at liberty to reject any work done or services provided by the Contractor.

The Purchaser shall give the Contractor notice as soon as reasonably practicable, setting forth particulars of such defects or failure. The Contractor must, with all speed and at its own expense correct the defects and subsequently affected portion(s) of the other equipment and materials, so as to make it comply with the requirements of the Purchaser. Should he fail to do so within a reasonable time, the Purchaser may reject and replace, at the cost of the Contractor, the whole or any portion of the equipment and materials, as the case may be, which is defective or fails to fulfill the requirements of the Purchaser.

In the event of such rejection, the Purchaser shall be entitled to the use of the equipment and materials for a time sufficient to enable him to obtain such replacement.

17. TERMINATION FOR CONVENIENCE

8.1 The Purchaser may by written notice sent to the Contractor terminate the contract, in whole or in part, at any time for its convenience. The notice of termination shall specify that termination is for owner's convenience, the extent to which performance of work under the contract is terminated and the date upon which such termination becomes effective.

8.2 The items of supply those are completed and ready for final inspection within twenty one (21) days after the contractor's receipt of notice of termination shall be accepted by the Purchaser at the Contract terms and price. For the remaining items of works the Purchaser may elect.

i. To have any portion completed and delivered at the contract terms and prices and/or.

ii. To cancel the remainder and pay to the Contractor an agreed amount for partially completed works.

18. INDEMINITY

1. The Contractor assumes responsibility and shall hold harmless the Purchaser from all liabilities, claims, demands, costs, charges, expenses, taxes and assessments, including

penalties, direct damages, proceedings, reasonable attorney's fees and litigation expenses, arising out of any acts or omissions or resulting from any breach of Contractor's obligations under this Contract, including those imposed under any local or national laws applicable to Contractor's Work. The Contractor further shall indemnify and save Purchaser harmless in respect to all claims for violation of any laws including salaries, wages, or other compensation of all persons employed by the Contractor or his sub-Contractors or suppliers in connection with the performance of any work covered by the Contract. The Contractor shall execute and deliver and shall cause his sub-contractors and suppliers visiting and/ or having presence at Site to execute and deliver such other further instruments and to comply with such requirements of such law and regulations as may be necessary thereunder to confirm and effectuate this Contract and to protect the Purchaser or his office and employees.

2. Contractor, its directors, associates, employees, successors, assignees, servants or any of them, to the extent caused by them, shall also indemnify and hold Purchaser, its directors, employees, successors, assignees, servants or any of them harmless from
    i. Any claim, demand, course of action, loss, expenses or liability on account of injury or death of persons (including the employees of the Purchaser and the Contractor / Subcontractor) or damage to or loss of property (including Contract Works/the property of the Purchaser/Third Parties) arising out of the negligent acts, errors or omissions of Contractor or its sub-contractor/associates in performance of Contractor's obligation under this Contract.

    ii. Any claim by Government authorities/quasi-Governmental body for failure by the Contractor to pay fines, taxes, duties, fees applicable to them arising out of the Project.

    iii. Any claim by third party including sub-contractors for failure to make payment for labour, services, equipment and materials arising out of this Project.

    iv. Any claim with regard to designs, methods, process including but not limited to claims arising out of infringement of Intellectual Property legislations and amendments there to, patent, trademark, property information, know-how, copyright, unpatented inventions or any unauthorised use of work.

3. The Contractor shall defend at his own expenses any suit proceedings for any claim asserted against the Purchaser. The Purchaser shall give reasonable assistance required in defending the suit and Purchaser reserves the right to defend/settle the claim if Contractor fails to defend diligently any such suits or proceedings without relieving the Contractor of his obligation.

19. RISK AND COST

In case of default on the part of the Contractor in carrying out any obligations under the Agreement, the Employer shall be entitled to employ and pay other persons to carry out the same and all expenses consequent thereon or incidental thereto shall be borne by the Contractor and shall be recoverable from him by the Employer or may be deducted by the Employer from any money due or which may become due to the Contractor in any agreement.

20. REMEDIES

The Purchaser shall be entitled to recover all costs, charges, damages or expenses, which the Purchaser may have paid, for which under the Contract/order the Contractor is liable. All costs or expenses for which the Contractor may become liable to the Purchaser shall be recovered by the Purchaser from the invoices of the Contractor. Such recovery can further be made by the Purchaser from any sum then due or which at any time thereafter may become due to the Contractor under this or any other Contract/order with the Purchaser. Should this sum be not sufficient to cover the full amount recoverable, the Contractor shall pay to the Purchaser, on demand, the remaining balance due.

21. CLAIMS & COMPENSATION

No claim or compensation shall be paid by the Purchaser under any circumstances, whatsoever. For the purpose of clarity, this includes but not limited to:

i. variation in quantity / value of the order;

ii. time overruns on any account by Employer;

iii. idling of Contractor's resources for any reasons.

22. LAWS GOVERNING THE CONTRACT

22.1 This Contract shall be governed by the Indian Laws for the time being in force.

22.2 JURISDICTION

The parties hereby agree that jurisdiction over any dispute arising under this Contract shall be vested only in the Courts of India and the parties submit to the exclusive jurisdiction of the said courts at Jajpur in the state of Orissa.

22.3 ARBITRATION

Any dispute arising out of or in connection with this Purchase Order or its performance, including the validity, interpretation, application, breach or cancellation hereof shall be settled and finally decided by applicable Indian Arbitration Act.

The arbitration shall be conducted by the sole Arbitrator appointed by the Chief Procurement Officer of the Purchaser. The venue of arbitration shall be Kalinganagar.

23. FORCE MAJEURE

If at any time during the continuance of this Contract the performance by either party under this Contract shall be prevented by reasons of any declared war, hostility, acts of the public or enemy, civil commotion, sabotage, fire, flood, earthquake, explosion, epidemic, quarantine restrictions or other Acts of God, (hereinafter referred to as 'eventuality') affecting the performance and respective obligation of the parties provided that notice of the happening of any such eventuality is given by either party to the other within fifteen (15) days from the date of the occurrence of such eventuality, neither party shall, by reason of such

eventuality be entitled to terminate this Contract, nor shall either party have any claim for damages against the other in respect of such non-performance and the work under this Contract. The performance shall be resumed as soon as practicable after such eventuality has come to an end or ceased to exist. Under such circumstances the contractual delivery period shall be extended by a period equal to that during which such eventuality operated plus an additional period, if any, will be jointly agreed. Whether the eventuality has come to an end or ceased to exist will be deliberated and mutually settled. Should one or both parties be prevented from fulfilling their contractual obligations by a state of force majeure lasting continuously for a period of at least three (3) months, both the parties shall consult each other regarding the further implementation of the Contract, provided always that, if no mutually agreed arrangement is arrived at within a period of one (1) month from the expiry of the three (3) months referred to above, the Contract shall be deemed to have expired at the end of the said three (3) months referred to above. The above mentioned expiry of the Contract will imply that both the parties have the obligation to reach an Agreement regarding the winding up and financial settlement of the Contract.

24 CONSEQUENTIAL DAMAGES

Neither party shall be responsible to the other party for any indirect and/or consequential damages including but not limited to loss of profit provided that this exclusion shall not apply to any obligations of the Contractor including payment of liquidated and other damages by the Contractor to the Employer

25 MAXIMUM LIABILITY OF THE CONTRACTOR

Maximum liability of the Contractor under the Contract excluding patent infringement, Indemnity, copyrights, intellectual properties, willful misrepresentation, criminal misconduct, workman compensation and fraud shall be limited to 100% of the Contract Price.

26 ENTIRE AGREEMENT

The terms and conditions contained herein constitute the sole and entire agreement and understanding between the parties hereto, and supersede and cancel all previous proposals, negotiations, commitments and understandings which were made prior to the signing of the Contract between the parties hereto with respect to the subject matter hereof, whether written or oral, unless otherwise clearly specified in the Contract.

For and on behalf of	***For and on behalf of***
TATA STEEL LIMITED	(Name of company.)
Signature……..	Signature ……..……
Name ……..	Name ……..…….